

the South is the largest at 188 mtpa. Orient contributes 6.5 mtpa with the potential to add another 8.1 mtpa. Adani in the statement, highlighted that Orient's assets "are highly efficient, equipped with railway sidings and well supported by captive power plants, renewable energy, waste heat recovery systems and alternate fuel and raw material facilities".

Ambuja Cements and its subsidiaries (including ACC) have a capacity of 88.9 mtpa (not counting Orient), making it the second largest after the Aditya Birla Group's UltraTech Cement at 155 mtpa.

A report by Centrum Broking says Ambuja's strategy has revolved around "penetrating the southern region through one deal at a time". At the time of buying ACC-Ambuja, its total capacity stood at 68 mtpa, with a 14% share in the South. After acquiring Penna, My Home Industries' grinding unit and Orient Cement, Ambuja's share is now around 25%. "Consolidation in the industry bodes well for the fragmented southern market, which will enable better pricing discipline in the medium to long term," it states.

Sanjay Moorjani, an independent analyst, says the deal provides access to substantial limestone reserves in Rajasthan. "This sweetens the deal given that ACC's reserves are ageing, and the new reserves can support an additional 6 mtpa of cement production capacity in the North," he says.

Orient Cement has been in the business since 1979 and about a decade ago, was demerged from Orient Paper & Industries. Owned by the CK Birla Group, the decision to exit cement is not surprising. "They have been increasingly reallocating resources into the healthcare business and other consumer-centric, technology-driven and service-based ventures, signalling a strategic realignment of priorities," says Moorjani. The group owns Birlasoft, NEI, Avtec, HIL, Orient Electric and the CK Birla hospitals, among others. This deal can be viewed as a part of a

larger capital reallocation strategy.

Centrum's report mentions that for FY23, its operating cost per tonne was lower than that of Ambuja. "Orient's lean cost structure is a result of multiple factors like limestone reserves at nil premium, railway sidings at all plants, a 10 MW waste heat recovery system and an alternate fuel and raw material mix of 18%," it states.

Ambuja's ambition is to double capacity to 140 mtpa by FY28 and the five buyouts have given it 33 mtpa at a cost of \$90 per million tonne. Moorjani says the acquisition of Orient is a

part of the larger story of how Ambuja and UltraTech are competing for assets. "That is driving consolidation across the industry, squeezing prices and margins, making it increasingly difficult for smaller players to stay afloat," he says. UltraTech has added Kesoram Industries' cement unit and more recently, India Cements to its portfolio.

The consolidation story in cement continues. And the South, with many potential assets on the block, is the market to track. **BT**

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AMBUJA CEMENTS' RECENT ACQUISITIONS

● The company has focussed a lot of attention on the South

TARGET COMPANY	CEMENT CAPACITY (MTPA)	EV (IN ₹ CR)	EV PER TONNE (IN \$)
Sanghi Industries	6.1	5,185	101
Asian Concrete	2.8	770	33
MyHome Industries' grinding unit	1.5	414	33
Penna Cement	14	10,420	89
Orient Cement	8.5	8,100	115

EV ENTERPRISE VALUE MTPA MILLION TONNES PER ANNUM

SOURCE CENTRUM BROKING REPORT, OCTOBER 2024

ORIENT CEMENT'S CAPACITY

● The buyout strengthens Ambuja's South operations and gives it a foothold in Rajasthan

LOCATION	STATE	CAPACITY (MTPA)
Chittapur	Karnataka	3
Devapur	Telangana	3.5
Jalgaon	Maharashtra	2
Operational capacity		8.5
Chittapur	Karnataka	4
Devapur	Telangana	4.1
Expansion potential		8.1
New capacity in Rajasthan		6
Total		22.6

MTPA
MILLION
TONNES PER
ANNUM
SOURCE
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